

AGREEMENT OF REFERENCE TO ARBITRATION BY MEMBERS OF A H.U.F.

Agreement made at.....this.....day of 2005 between 1. Mr. A
2. Mr. B 3. Mr. C 4. Miss D and 5. Mrs E, Mrs F and Mr. G and Master H a minor by his father
and natural guardian Mr. B all of...adults, as follows.

Whereas

- (i) The parties hereto are members of a joint and undivided Hindu family and as such own several immovable properties and a business carried on the name of M/s.....but which is now closed and which immovable properties are described in the First Schedule hereunder written. There are no tangible business assets existing.
- (ii) There is one more immovable property which described in the second schedule hereunder and there is dispute between the parties as to whether it is HUF property or self earned property of the manager in whose name it stands in the Government and Municipal records.
- (iii) Mr. A is the karta of the family. Mr. B is his younger brother and Mr. C and Mr. D are the son and un-married daughter respectively of Mr. A. and Mr. E is the son of the Mr. B, Mrs F and G are the wives of Mr. A and Mr. D respectively and H is the minor son of Mr. B.
- (iv) Disputes have arisen between the parties regarding the said properties and the business and also regarding the accounts of the management of the properties and the business and they desires to settle the dispute by effecting partition of the properties between them and winding up the said business.
- (v) The parties have decided unanimously to appointed Mr.....as the sole Arbitrator in whom they have full confidence to decide the disputes and he has given his consent to act as sole Arbitrator.

NOW IT IS AGREED BY AND BETWEEN THE PARTIES HERETO AS FOLLOWS

- (1) The Parties here by appoint Mr.....as the sole arbitrator. The said Arbitrator shall decide all such disputes and claims of one or more parties against the other or others.
- (2)The arbitrator shall first effect metes and bounds partition of the properties described in the first schedule hereunder written between the parties according to their shares therein and for that purpose he will get valuation of the said properties made by a valuer.
- (3)It is agreed between the parties that Mr. A and his branch consisting of C, D and F are entitled to one half share in the said properties and Mr. B and his branch consisting of E. G. H are entitled to one half undivided share therein. The Arbitrator shall have right to partition the property either between the branches as such or between all the several members of the said family aforementioned individually except that it is agreed that the right of Miss D. unmarried daughter of A is only for maintenance and marriage expenses and she is not entitled to separate share in the said properties.
- (4)For the equalisation of shares the Arbitrator will have the right to award payment of cash by one party to the other and to make it a charge on the property allotted to any party by whom such cash amount is payable. For effecting partition according to shares the Arbitrator will have the right to allot any properties jointly to one or more parties hereto in lieu of their shares if physical partition is not possible.
- (5)The Arbitrator will be entitled to make an interim award effecting such partition as aforesaid in respect of properties mentioned in the first schedule hereunder written.
- (6)The Arbitrator shall decide whether the property described in the second schedule belongs to the said joint family or belongs to Mr, A personally as his self acquired property. If he holds that

it is joint family property he will have right either to sell the said property at the highest price available and distribute the net sale proceeds among the parties according to their respective shares. The Arbitrator will have however the right to give a right of preemption to Mr. A to purchase the said property at the highest price available and to adjust his shares in the highest price either singly or jointly with the members of his branch and to direct him to pay the balance to the other parties in proportion to their respective shares and to create a charge on the property for such payment.

(7)The Arbitrator shall decide the amount to be paid to Miss D for her maintenance till marriage and marriage expenses and to secure payment thereof to her in such manner as he thinks fit.

(8) The Arbitrator shall take accounts for the management of the said properties and the said business since the first day of.....till the making of the award and shall be entitled to give directions to the parties to file their statements of accounts and the objections and surcharge thereto by the others. The Arbitrator shall be entitled to appoint an accountant and have the accounts properly made up, written and audited. The Arbitrator shall direct any party or parties liable to pay, to pay such amount to the other or others on taking such accounts and to secure payment thereof.

(9) For the purposes aforesaid the Arbitrator will be entitled to give all necessary directions including direction to the parties to file their respective statements of claims and disputes and the replies thereto within such time or extended time as he thinks fit.

(10) The Arbitrator will have the right to direct any party to give inspections of documents in his or her possession to the other or others who demand the same.

(11)The Arbitrator will give oral hearing to the parties or their Advocate if any engaged but will not be bound to take oral evidence.

(12)The Arbitrator shall make his final awards deciding all the questions of disputes or claims remaining after making the interim award.

(13) The Arbitrator will not be bound to give reasons for and on this award.

(14)The Arbitrator will make his interim award within four months from the date of his entering upon the reference or within such extended time as the parties may agree upon and he shall make his final award within four months from the making of the interim award or within such extended time as the parties may agree upon.

(15)The Arbitrator will be paid his fees at the rate of per hour and the parties will pay the same as follows that Mr. A and his branch will pay 50% of the fees and Mr. B and his branch will pay 50% of his fees. The fees will be paid in such manner and at such times as the Arbitrator may direct.

(16)The Arbitrator will be entitled to direct the parties to contribute to and pay the expenses incurred by him for valuation of the properties, for taking accounts and other clerical expenses incurred by him and in the event of the parties failing to pay the same when demanded he can make suitable provision in the award for payment; thereof.

(17)Subject to this the cost of and incidental to Arbitration proceedings including the awards to be made and the stamp duty and other charges payable in respect thereof shall be at the discretion of the Arbitrator.

(18)Subject to what is herein provided the Arbitration shall be governed by the Arbitration and Conciliation Act of 1996 for the time being in force.

IN WITNESS WHEREOF the parties have put their hands the day and year first hereinabove written.

THE FIRST SCHEDULE ABOVE REFERRED TO

XXX X X

THE SECOND SCHEDULE ABOVE REFERRED TO

XXX X X

Signed by the withinnamed parties

(1) A (2) B (3) C (4) D (5) E (6) F (7) G and
(8) H his father and natural guardian Mr. . and
Mr. B in the presence.